

# INTERNAL AUDIT REPORT

Vendor Risk Audit | Report No. AR-02336

|                                |                                   |
|--------------------------------|-----------------------------------|
| Report ID:                     | AR-02336                          |
| Audit Type:                    | Vendor Risk Audit                 |
| Report Date:                   | August 16, 2023                   |
| Audit Period:                  | 2022-11-29 to 2023-07-24          |
| Lead Auditor:                  | Timothy Gray (EMP-17741)          |
| Reviewed By:                   | Beth Lewis (EMP-71261)            |
| Primary Vendor Reference:      | ZenithBridge Corp LLC (VND-04300) |
| Subject Employee Reference:    | Emily Reid (EMP-56448)            |
| Primary Transaction Reference: | TXN-EXT-002064                    |
| Overall Risk Rating:           | CRITICAL                          |

## 1. EXECUTIVE SUMMARY

This vendor risk audit covered the period 2022-11-29 to 2023-07-24 and examined transactions, approvals, and compliance records associated with vendor ZenithBridge Corp LLC (VND-04300) and employee Emily Reid (EMP-56448). The audit identified 4 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **CRITICAL**.

## 2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-EXT-002064 (amount 74,012.43 USD) was selected as a key test item.

## 3. FINDINGS

| Finding ID | Severity | Category        | Description                                                                                                       |
|------------|----------|-----------------|-------------------------------------------------------------------------------------------------------------------|
| FND-002335 | MEDIUM   | MISSING RECEIPT | Expense claim EXP-104440 submitted for Training without an attached supporting receipt.                           |
| FND-000689 | LOW      | APPROVAL LIMIT  | Escalation protocol was bypassed. Transaction valued at \$104,254 was approved at L1 without L3 countersignature. |

| Finding ID | Severity | Category       | Description                                                                                                                 |
|------------|----------|----------------|-----------------------------------------------------------------------------------------------------------------------------|
| FND-002830 | MEDIUM   | APPROVAL LIMIT | Transaction processed with approval from an officer whose delegated authority was 77% below the required threshold.         |
| FND-003607 | MEDIUM   | VENDOR RISK    | Payment issued to VND-VND-01969 rated LOW risk. Active contract CON-106685 in place. Enhanced due diligence not documented. |

4. EVIDENCE REFERENCES

| Evidence ID | Source Type        | Citation Reference | Alignment Score |
|-------------|--------------------|--------------------|-----------------|
| EVI-002841  | HR RECORD          | EVD-DQX-0184       | 0.51            |
| EVI-004118  | POLICY DOCUMENT    | EVD-MZU-4081       | 0.82            |
| EVI-004272  | TRANSACTION RECORD | EVD-FWV-1934       | 0.88            |
| EVI-004479  | HR RECORD          | EVD-QNL-7582       | 0.81            |
| EVI-005527  | POLICY DOCUMENT    | EVD-WUR-4537       | 0.74            |
| EVI-009329  | TRANSACTION RECORD | EVD-MOP-8284       | 0.83            |

5. RECOMMENDATIONS

- Require compliance certificate verification as a system gate prior to payment release.
- Escalate repeat policy violations to the Risk Committee for disciplinary review.
- Implement receipt-matching automation for expense claims above the policy threshold.

6. MANAGEMENT RESPONSE

Management partially agrees with the findings; a remediation plan has been submitted for review by the Audit Committee.

7. SIGN-OFF

| Role              | Name         | Employee ID | Date       |
|-------------------|--------------|-------------|------------|
| Lead Auditor      | Timothy Gray | EMP-17741   | 2023-08-16 |
| Reviewing Officer | Beth Lewis   | EMP-71261   | 2023-08-18 |